

FA565 Business Ethics and Corporate Governance

Week 2, Part 1:
Evaluating Business Ethics

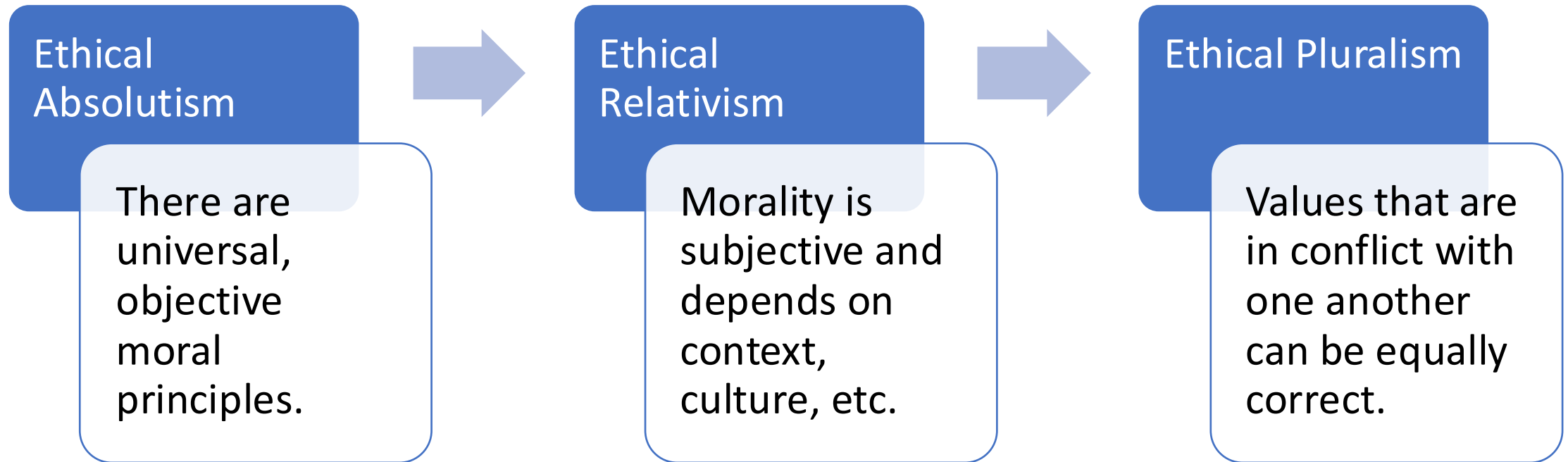
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Descriptive VS. Normative Ethical Theories

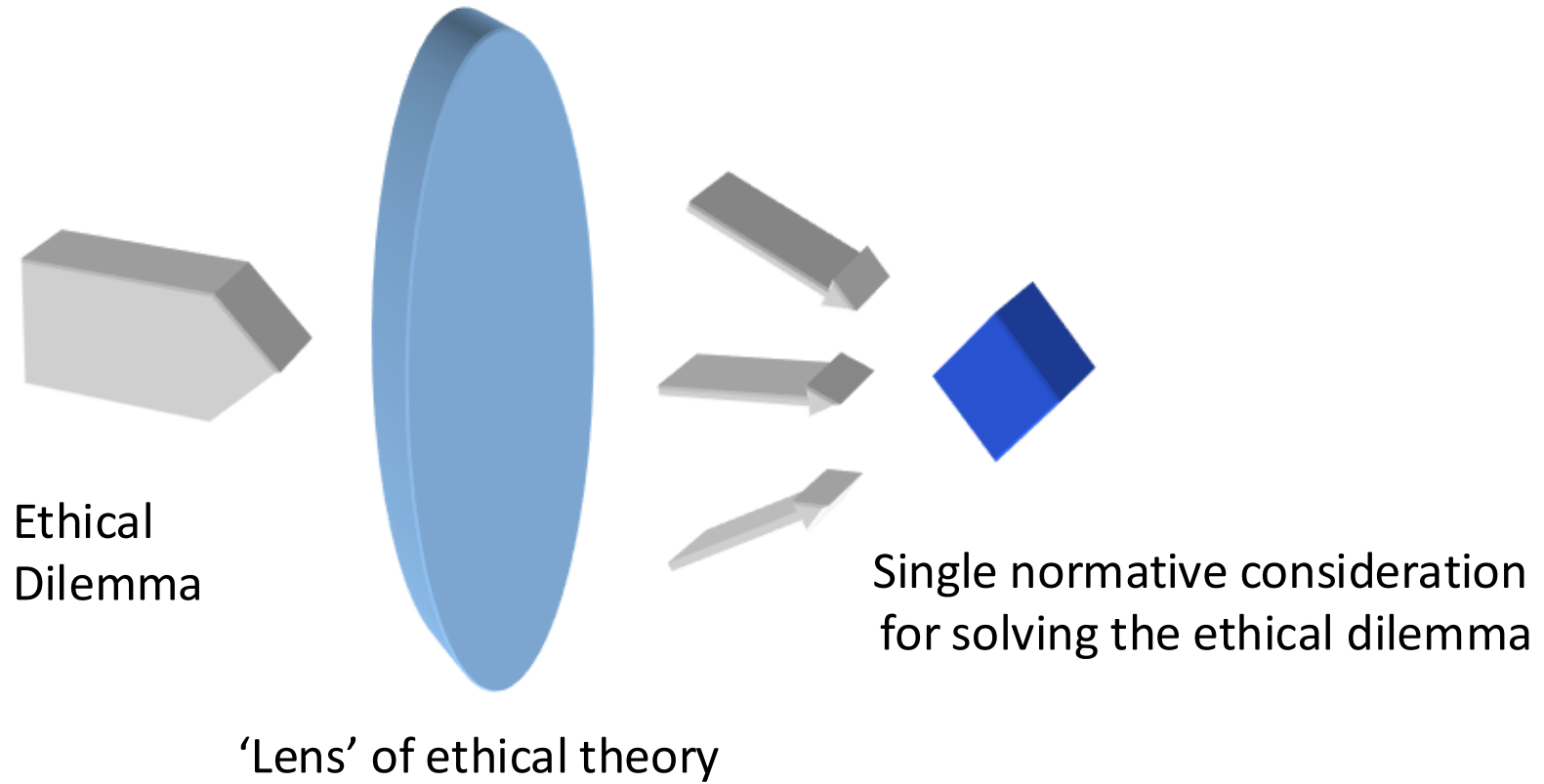
Descriptive ethical theories simply describe the way people actually behave and the moral standards they claim to follow (from the morals of a particular religion, through to those of a professional body).

Normative ethical theories are those that propose to **prescribe** the morally correct way of acting, i.e. how *should* we behave in a specific situation.

Is there only one right or wrong?



Typical Perspective



Considerations for making ethical decisions

One's own
interests

Social
consequences

Duties to
others

Rights of
others

Fairness

Character and
integrity

Relationships
and
responsibility

Deliberative
process

Empathy and
moral impulse

Western Modernism

- Absolutist – aim to prescribe rules for given situations
- Based on certain assumptions about the nature of the world and human beings
- Advantage: Unequivocal solutions to moral dilemmas

Ethics of Duties

Abstract, unchangeable obligations, defined by a set of rationally deduced rules, which should be applied to all relevant ethical problems

- Key people:
 - Immanuel Kant –
‘Foundations of the Metaphysics of Morals’
- Focuses on duties derived from commitment to do the right thing according to moral law
- Holds that humans are *rational moral agents* with *free will*

Categorical imperative: You should only accept a moral law if it would be universally acceptable, and it treats humans as an end not a means

Therefore businesses have a **duty** to allow stakeholders to influence the corporation and they should be treated as **end goals** not just resources/sources of revenue, etc.

Utilitarianism

An action is morally right if it maximises good outcomes for the greatest number of affected people ('greatest happiness principle').

- Key people:
 - Jeremy Bentham – 'Introduction to the Principles of Morals'
 - John Stuart Mill – 'Utilitarianism'
- Focuses on outcomes and collective welfare
- Based on the idea that humans are motivated by the desire to avoid pain/gain pleasure

Can be used to do cost-benefit analysis.

Considers all stakeholders.



T R O L L E Y

P R O B L E M

*Would you sacrifice one person
to save five?*

Virtue Ethics

Possessing virtues is required to be a good person. A virtuous person is a morally good and wise person.

- Key people:
 - Aristotle – ‘Nicomachean Ethics’
 - Alasdair MacIntyre – ‘After Virtue’
- Focus on character – you should strive to be a good person (Aristotle)
- Humans can learn virtuous traits to live a good life (MacIntyre)
- Normative – but focusses on ‘being’ rather than ‘doing’.

For businesses, profit is just one element of a ‘good life’ – also requires stakeholder satisfaction, etc.

Drawback: How to make sense of a good person doing bad things?

The background of the slide is an abstract composition. The upper portion features marbled paper with swirling patterns in shades of beige, cream, and light brown. The lower portion is a solid, dark green material with a visible vertical crease and a slightly textured surface. The text 'Case Study: Deutsche Bank' is centered horizontally across the middle of the image, where the two background materials meet.

Case Study: Deutsche Bank

Ethics of Rights & Justice

- Key people:
 - John Locke – ‘Two Treatises of Government’
 - John Jacques Rousseau – ‘The Social Contract’
 - John Rawls – ‘A Theory of Justice’
- Focuses on rights and the nature of justice
- Respect for human beings, who are distinguished by dignity

The moral course of action is a duty derived from the rights of others.

Locke conceptualised ‘natural rights’ such as life, freedom, property – this has evolved into the concept of human rights. Other humans have the duty to respect these rights.

Justice: Simultaneous fair treatment of individuals in a given situation such that everyone gets what they deserve (important for issues around employment/discrimination).

Rousseau created the idea of a ‘social contract’, a hypothetical agreement between the members of a social that establishes inter-relationships, rights & responsibilities on a fair basis. **Rawls** envisages this being established behind a ‘veil of ignorance’ where we do not know what position we would occupy in society.

Egoism

An action is morally right if the decision-maker freely decides an action to pursue either their (short-term) desires or their (long-term) interests.

- Key people:
 - Thomas Hobbes - 'Leviathan'
 - Ayn Rand – 'The Virtue of Selfishness'
- Aims to maximise individual desires & interests
- Believes that humans are obliged to serve themselves alone

In business: Adam Smith (1793) held that pursuit of individual interest was morally acceptable as the 'invisible hand' of market (i.e. supply & demand) creates benefit for all.

Milton Friedman's assertion that the only responsibility of companies is to generate profit goes a step further this.

Businesses acting in 'enlightened self-interest'.

Ethics of Care

(Feminist Ethics)

Emphasises our interdependency with those with whom we have important relationships. Acknowledges the role of emotions as well as rationality.

- Key people:
 - Carol Giligan – ‘In a Different Voice’
 - Virginia Held – ‘The Ethics of Care: Personal, Political & Global’
- Relationships and associated responsibilities inform ethics
- Humans are relational and interdependent
- Often seen as a type of Virtue Ethics focussed on human interaction

Buddhist & Confucian approaches to business ethics, for example, focus on interconnectedness of relationships.

Discourse Ethics

Ethical conflicts can be resolved through a deliberative process of norm-generation, including rational reflections and open communication on the real-life experiences of all relevant participants.

- Key people:
 - Jurgen Habermas – ‘Moral Consciousness and Communicative Action’
- Conflict resolution requires open, honest discussion
- Humans are rational individuals who can resolve conflicts
- Partly a reimagining of Kantian ethics – still requires an element universalizability

Suggests individual dilemmas can be resolved through discussion (non-absolutist) between stakeholders.

Those in power should not impose their values on others.

Postmodern Ethics

Locates morality in an emotional 'moral impulse' (gut feeling) towards others.

- Key people:
 - Zygmunt Bauman – 'Postmodern Ethics'
- Ethics is context and individual specific
- Humans have an innate, internal guide to ethics

Full rejection of normative ethics.

In business, this means acting based on moral impulses derived from real-life encounters with others (stakeholders).

Pluralism?

Crane et al (2019) argue that for the practical purpose of making effective decisions in business:

- Not suggest one theory or one approach as the best or true view of a moral dilemma
- Suggest that all these theoretical approaches throw light from different angles on one and same problem
- Complementary rather than mutually exclusive

Pluralistic Perspective

